

FORM TP 2012127



TEST CODE **02101020**

MAY/JUNE 2012

**CARIBBEAN EXAMINATIONS COUNCIL
ADVANCED PROFICIENCY EXAMINATION**

ACCOUNTING

UNIT 1 – Paper 02

2 hours and 45 minutes

05 JUNE 2012 (a.m.)

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This paper comprises THREE questions.
2. EACH question is worth 35 marks.
3. ALL questions are COMPULSORY.
4. Begin EACH answer on a new page.
5. You may use a silent, non-programmable calculator to answer questions.

**COUVA EAST SECONDARY
LIBRARY
636-2585**

C.E.S.E.C.

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO.

Copyright © 2011 Caribbean Examinations Council
All Rights Reserved.

02101020/CAPE 2012



1. (a) Internal and external auditors often liaise on various matters but there are differences between their roles.

- (i) Copy and complete the following table which compares and contrasts the scope and objectives of the work of internal auditors for a public company with those of external auditors.

TABLE 1: THE ROLES OF INTERNAL AND EXTERNAL AUDITORS

Internal Auditors	External Auditors
Appraise the effectiveness with which organisational units	Give an opinion on the fair presentation of
Report to	Report to
Study and evaluate accounting and administrative	Limit themselves to reviewing accounting controls as they affect the figures on the
Employees of the	Independent of the company they

(8 marks)

- (ii) Explain BRIEFLY the extent to which EACH type of auditor should be expected to detect fraud in a company. (4 marks)

- (b) Bernice Inc was incorporated in St Barths on 30 November 2010. A number of transactions occurred over the next two years. However, no entries were made in the books with respect to any of these transactions. The director has hired you to make the necessary journal entries to bring the books up to date. The following transactions occurred over the two years.

- 15 June 2011, Bernice Inc issued 15 000 shares of \$10 par value common stock in exchange for land with a fair market value of \$60 000 and a building with a fair market value of \$180 000.
- 15 October 2011, Bernice Inc purchased 35% of the outstanding shares of \$2 par value common stock of Fly Corporation for \$700 000.
- 30 November 2011, Fly Corporation paid a total cash dividend of \$120 000.

GO ON TO THE NEXT PAGE

- 31 December 2011, accrued the interest on an \$80 000 6-month 10% note payable taken on 01 October 2011 (**Note: do not make any entry for the actual loan**).
- 31 December 2011, the company has estimated accumulated retained earnings of \$5 million. The board of directors declared a stock dividend by issuing 9 000 additional \$10 par shares of common stock.

Prepare journal entries with narratives to record the above transactions. (17 marks)

- (c) International Accounting Standard 1 (IAS 1) states that there are certain considerations that must be taken into account if financial statements are to be fairly presented and if the financial statements are to be in compliance with the International Accounting Standards.

Briefly explain the following terms as used in IAS 1.

- (i) Consistency (2 marks)
- (ii) Materiality (2 marks)
- (iii) Going concern (2 marks)

Total 35 marks

2. (a) Copy and complete Table 2 by putting a tick (✓) to indicate whether the characteristic is applicable to the Corporation or Partnership.

TABLE 2: CHARACTERISTICS OF A CORPORATION AND A PARTNERSHIP

Characteristics	Corporation	Partnership
Taxation of the entity		
Ease of transfer of ownership		
Owners' liability for debts of the business		
Continuity of existence		
Separate legal entity		

(5 marks)

- (b) Kendal and Kwame are in partnership in a publishing business sharing profits and losses equally. They decide to admit Janet into the partnership. Janet brought \$80 000 to be used for expansion. Profits in the future would be shared equally among Kendal, Kwame and Janet. Immediately prior to admission of Janet, the Balance Sheet of Kwame and Kendal was as follows:

Kwame & Kendal		
	\$	\$
Assets		
Current assets		
Cash at bank	2 000	
Accounts Receivable	12 000	
Inventory	<u>10 000</u>	
Total current assets		24 000
Current Liabilities		
Accounts Payable		<u>8 000</u>
		16 000
Fixed Assets		
Property, Plant and Equipment		
Building	180 000	
Plant and Machinery	<u>20 000</u>	
		200 000
Total net assets		<u>216 000</u>
Capital		
Kwame		120 000
Kendal		<u>96 000</u>
		<u>216 000</u>

Revaluation of assets reveals goodwill to be valued at \$18 000, Buildings at \$200 000 and Plant and Machinery at \$16 000. Inventory and Accounts Receivable are considered to have fair value equal to book value.

- (i) Prepare the Capital Adjustment Account which shows the charges to the Plant and Machinery Account, Building Account, Goodwill and the Partners Capital Accounts just before Janet is admitted. **(10 marks)**
- (ii) Prepare the Balance Sheet to show the opening position of the new partnership of Kwame, Kendal and Janet. **(10 marks)**

GO ON TO THE NEXT PAGE

(c) William Barker organized Fancy Beachwear Inc early in 2009 with an authorized share capital of 500 000 shares at \$5 each.

- On 15 January 2009 the company issued to William and other investors 40 000 ordinary shares.
- The investors paid \$6 for each share.
- The Income Statement prepared at 31 December 2009, showed a pre-tax profit of \$120 000.
- No dividends were declared in 2009.
- In 2010, the directors offered a 1 for 2 rights issue at \$5 per share.
- All the rights were taken up.
- The pre-tax profit for 2010 was \$625 000.
- In June 2011, the directors gave a bonus issue of 1 share for every share in issue.
- The pre-tax profit for 2011 was \$750 000.
- The corporation tax rate was 35% for the period 2009–2011.

Prepare the Shareholder Equity section of Fancy Beachwear Inc at 31 December 2011.
(10 marks)

Total 35 marks

3. You have been presented with the following Trial Balance of Portsmouth Home & Office Depot at 30 June 2011.

	DR	CR
	\$'000	\$'000
Fittings at cost	226	
Fittings, accumulated depreciation – 01 July 2010		88
Buildings at cost	592	
Buildings, accumulated depreciation – 01 July 2010		48
Land, at cost	188	
Bank	30	
Retained Earnings – 01 July 2010		104
Long term loan		40
Loan interest	4	
Dividend paid	20	
Sales		1510
Returns inwards	28	
Wages and salaries	144	
Insurance	14	
Utilities	70	
Inventory – 01 July 2010	128	
Allowance for bad debts – 01 July 2010		8
Administrative expenses	64	
Purchases	884	
Discounts received		76
Accounts payable		200
Accounts receivable	256	
Directors fees	56	
\$1 Ordinary shares		570
Share premium account		60
	2704	2704

GO ON TO THE NEXT PAGE

Additional information available as at 30 June 2011:

- Ending inventory is valued at \$60 000.
- Invoices for utilities NOT received for June is \$12 000.
- Insurance expense includes \$2 000 for July and August 2011.
- Fittings are to be depreciated at 25% per annum using the reducing balance method.
- Buildings are depreciated at 5% per annum on the original cost.
- Land was revalued on 30 June 2011 to \$200 000.
- \$10 000 of the long term loan is due to be paid in the next accounting period.
- Tax has been calculated at \$40 000 for the year.

Prepare the Income Statement and Balance Sheet for the Company for the year ended 30 June 2011 in accordance with International Accounting Standard 1 (IAS 1).

Total 35 marks

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.